CORPORATE RESPONSIBILITY REGARDING THE CONCERN OF GREENWASHING, POLICY AND LEGAL INITIATIVES: A CRITICAL STUDY

THESIS SUBMITTED TO

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CHAPTER 6

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CONCLUSION

As India approaches the midpoint of its journey toward the 2030 Sustainable Development Goals and charts its course toward 2070 net-zero commitments, the stakes of effective anti-greenwashing regulation are high. A fight against Greenwashing can also serve as an enabler for effective climate action. Without credible corporate environmental claims, capital cannot flow efficiently to genuine climate solutions and consumers cannot make informed sustainable choices. This will also negatively affect the achievement progress of India's national climate commitments. Effective anti-greenwashing regulation is thus essential not only for market integrity but for environmental integrity.

This chapter consolidates the major findings of the thesis and then puts forward a coordinated set of suggestion and recommendations.

6.1 KEY FINDINGS OF THE STUDY

This research leads to the following major findings:

Finding 1: Greenwashing in India is no longer limited to misleading advertisements.

The thesis notes in the Chapter 2 that Greenwashing now appears across product labels, websites, sustainability reports, BRSR filings, ESG ratings, green debt instruments and carbon-reduction claims. This finding draws strength from official data points from various regulatory, self-regulatory bodies and institutional reports cited in Section 2.5. Taken together, these authoritative indicators showed that greenwashing in India is not a marginal advertising problem. It is a recurring corporate governance and market-integrity problem.

Chapter 2's doctrinal analysis further shows that the Consumer Protection Act, 2019 and the CCPA Greenwashing Guidelines, 2024, though necessary, cannot by themselves address the full category of contemporary greenwashing. Their architecture remains primarily consumer-facing and advertisement-oriented; it is largely reactive and complaint-driven; it focuses on the message after publication rather than the internal corporate processes that produced it; and it does not create board-level verification duties or direct accountability for directors, audit committees, or disclosure systems.

Chapter 2 also shows that the CCPA Guidelines prescribe substantiation standards, but they do not require corporations to establish ex ante internal controls capable of ensuring that environmental claims are accurate before they enter the market. The puffery carve-out further leaves interpretive room for aspirational environmental messaging and long-horizon transition narratives to escape effective scrutiny. In that sense, the present consumer protection framework addresses only one downstream slice of a much broader upstream governance failure.

The study therefore supports a governance-based understanding of greenwashing.

Finding 2: India's shift from CSR-based responsibility to ESG-based disclosure has not solved the truth and verification problem.

Chapter 3 shows that India has moved from a spending-based model of responsibility under Section 135 of the Companies Act, 2013 to a disclosure-based model through SEBI's BRSR framework. This transition has certainly increased the volume, visibility and formal status of sustainability reporting. However, the study finds that it has not solved the central problem of greenwashing, namely the gap between environmental language and environmental reality.

The weakness lies in the fact that neither model guarantees truth by itself. The CSR framework focused mainly on spending and disclosure of activities, not on whether the company's core business practices actually matched its environmental claims. The BRSR framework is more disclosure-oriented and is therefore more relevant to modern greenwashing, but much of its data still remains lightly verified or entirely unverified. Assurance is only phased in gradually, applies only to BRSR Core indicators and does not cover the full universe of sustainability disclosures. Large unlisted companies also remain outside the framework.

The thesis further shows that this transition has changed where greenwashing happens. Earlier, misleading green claims were often located in advertisements and product-level marketing. Now, they can also appear in sustainability reports, investor presentations, ESG ratings submissions and transition narratives that carry greater institutional credibility. This makes greenwashing harder to detect and easier to defend as formal compliance.

The study therefore reaches a clear finding: Disclosure without strong verification, integrated oversight and deterrent consequences does not close the truth gap.

Finding 3: Indian corporate and securities law provides a strong basis for accountability for misleading environmental claims, but its enforcement is almost non-existent.

The research, specifically through the analysis undertaken in Chapter 3 and 5, shows that the legal foundation is stronger than it appears at first sight. Section 166(2) of the Companies Act, 2013 does not merely allow directors to consider environmental concerns; it expressly requires them to act in good faith for the protection of the environment.

This doctrinal position has also become stronger through judicial interpretation. The *Tata-Mistry* decision supports reading the environmental limb of Section 166(2) as an independent part of directors' duties and the Supreme Court's judgment in *M.K. Ranjitsinh v. Union of India* (2024) strengthens that position. Read together, these developments make it harder to treat environmental protection as an optional or symbolic concern in company law. However, the study also finds that this strong doctrinal basis has not been converted into a reliable enforcement pathway. Chapter 3's systematic review found no reported Indian decision directly applying Section 166(2) to hold directors liable for failure to protect the environment. The problem is not only absence of case law, but a wider accountability vacuum. Environmental stakeholders, consumers and affected communities do not have a clear route to enforce the duty directly. In practice, action usually depends on the company itself, MCA, or SEBI. The penalty under Section 166(7) remains only ₹1 lakh to ₹5 lakh, which is commercially insignificant for large companies and their directors. Scholarly commentary discussed in Chapter 3 therefore describes the environmental limb of Section 166(2) as potentially a "dead letter": textually strong, but procedurally weak.

This research finds a similar weakness in the enforcement of ESG disclosures under SEBI's BRSR framework. BRSR has certainly increased the volume and formal status of sustainability reporting, but it has not yet created a strong enforcement system. The weakness lies in the design of the framework itself. Assurance is being introduced slowly and even then it covers only BRSR Core indicators rather than the full set of disclosures. For a large part of the market, ESG data therefore still remains effectively self-certified. Chapter 5 further shows that BRSR follows single materiality, uses a largely common template across sectors and does not insist on one uniform accounting methodology, all of which make claims harder to compare, test and challenge. Later relaxations have weakened the framework even more by delaying value-chain disclosure, softening the "assessment or assurance" requirement and limiting mandatory coverage. Companies also choose and pay their own assurance providers, which raises independence concerns. Also, large unlisted companies remain outside the framework altogether. These design weaknesses make detection, verification and enforcement more difficult. As a result, Indian law now requires more environmental reporting than before, but it still does not ensure that the reporting is fully verified and consistently supervised.

The study therefore arrives at a clear conclusion. Indian corporate law does not suffer from a complete absence of accountability principles. On the contrary, it already contains an express environmental duty, many plausible fiduciary pathways for treating greenwashing as bad-faith conduct and a constitutional backdrop that strengthens the seriousness of that duty. The real weakness lies in enforcement design: narrow standing, low penalties, weak use of director liability and incomplete verification.

Finding 4: The comparative study shows that India's starking lack of enforcement in anti-greenwashing space, is mainly a result of poor regulatory design.

The comparative analysis done in this thesis in Chapter 4, finds a clear international shift in the way greenwashing is being understood. In stronger jurisdictions, it is increasingly treated as an upstream governance problem, where boards, senior management, verifiers and multiple regulators are expected to test the claim before it reaches the market. This broader direction is also supported by the *OECD's Regulatory Policy Outlook 2025*, which stresses that effective regulation depends on institutional cooperation and the capacity to move from reactive enforcement to proactive, risk-based supervision.

The *European Union* illustrates this shift most clearly. Under the *Corporate Sustainability Reporting Directive (EU CSRD)*, boards remain responsible for the accuracy of sustainability reporting and disclosure is tied to a double-materiality model that requires companies to report both financial risk and environmental impact. The CSRD also moves toward stronger assurance, with limited assurance required first and reasonable assurance scheduled later. Alongside this, the proposed *EU Green Claims Directive* demands science-based substantiation, lifecycle methodology and accredited third-party verification before certain claims are published. Further the *Empowering Consumers for the Green Transition Directive* restricts vague expressions such as "green" or "climate neutral" unless they can be properly supported. The European Commission's Consumer Protection Cooperation Network adds a coordination layer across member states; its 2020 sweep found that nearly 60% of traders did not provide enough information to verify their green claims and in 2024 it launched coordinated investigations into 20 airlines for potentially misleading environmental representations. The importance of these developments lies not in any one rule alone, but in the fact that governance duties, substantiation standards, verification and coordinated enforcement operate together.

The *United Kingdom* and Australia reinforce the same pattern. In the UK, the Financial Conduct Authority's anti-greenwashing rule requires sustainability claims to be fair, clear, not misleading and backed by reliable evidence, while the Competition and Markets Authority can now impose penalties of up to 10% of global turnover under the Digital Markets, Competition and Consumers Act, 2024. The comparative analysis also finds that the FCA and CMA do not operate as isolated bodies; their approaches are increasingly aligned, which makes the system function as an integrated enforcement structure.

Australia offers perhaps the clearest enforcement example. The Australian Securities and Investment Commission reported 47 greenwashing interventions in the 15 months ending 30 June 2024, including corrective disclosures, infringement notices. And a concluded proceeding against Mercer Superannuation that resulted in an AUD 11.3 million penalty for misleading ESG fund disclosures. Australia also combines this active enforcement posture with regulator coordination, as ASIC and the Australian Competition and Consumer Commission have treated greenwashing as a joint priority.

Against this comparative background, the study notes that India's near zero enforcement record appears more structural than accidental. India does have important legal components, but it lacks the connecting design that makes those components work as a deterrence system. The study finds that in India, there is no clear equivalent of the EU's integrated architecture, no FCA-CMA style operational coordination and no ASIC-style pattern of visible, market-shaping enforcement.

This thesis captures the comparative design gap more visually in Table 4.3, Table 4.4 and Table 4.5 in chapter 4.

The study finds poor enforcement record not just for section 166(2), but also for SEBI BRSR and CCPA Greenwashing Guidelines. On top of that, there have been multiple instances of regulatory backsliding as noted in Chapter 5. Even SEBI's BRSR got weakened rather than strengthened through relaxations in assurance and value-chain disclosure requirements. Penalties also remain comparatively modest.

The comparative study therefore supports a strong conclusion: India's main weakness is not that it has failed to recognise greenwashing as a legal issue, but that it has not yet built the institutional design needed to prevent, detect and punish it consistently across the full life cycle of a green claim.

Finding 5: Apart from poor regulatory design, it is fragmentation and poor coordination, that affects Indian regulatory enforcement.

The study first reveals a problem of definitional fragmentation. Chapter 5 shows that CCPA, SEBI, ASCI and sectoral regulators do not work with one fully harmonised conception of greenwashing. A claim such as "carbon neutral", "eco-friendly", or "net zero" may therefore face different evidentiary expectations depending on whether it appears on packaging, in advertising, in a sustainability report, or in a finance document. Therefore, it creates ample room for regulatory arbitrage, where companies can frame claims according to the regulator they are facing.

Secondly, the study finds jurisdictional ambiguity and lifecycle gaps. The same environmental representation may travel across packaging, websites, annual reports, BRSR disclosures, ESG ratings and green debt documentation, yet there is no lead-regulator mechanism to treat it as one continuous claim. One regulator may view the matter as falling mainly within another's domain. It is therefore revealed that the absence of mandatory cross-referral, shared evidence protocols, or joint investigation structures; makes enforcement partial rather than cumulative. Table 5.2 in Chapter 5, illustrates this fragmentation across the life cycle of a single claim.

Thirdly, the study finds that information silos and limited technical coordination deepen the problem. India still lacks joint enforcement teams, shared technical experts, harmonised penalties, or a unified enforcement database for greenwashing matters. This weakness is especially serious for technical claims involving offsets, life-cycle assessment and Scope 3 emissions. The result is not merely overlap, but under-enforcement. Some cases are pursued only in fragments, while others fall between institutions altogether.

The finding therefore is clear. India's anti-greenwashing regime is extremely fragmented and is full of gaps and overlaps.

6.2 TESTING THE HYPOTHESIS

The study was premised on three hypotheses. They are tested here through the doctrinal and analytical study undertaken in this research.

Hypothesis 1: Greenwashing in India is primarily a consequence of weak corporate governance and the limited operationalisation of board-level environmental responsibility.

The thesis establishes that contemporary greenwashing is not confined to advertisements aimed at consumers. It also occurs through corporate-level and investor-facing communications (sustainability reporting, ESG disclosures, net-zero/transition narratives and other long-horizon representations, including "futurewashing"). So, if greenwashing occurs through these non-advertising channels, then a consumer-only framing cannot address the problem of greenwashing comprehensively.

The Consumer Protection Act, 2019 and the CCPA/ASCI instruments allocate duties and enforcement attention primarily toward misleading advertisements and consumer-facing claims. That is doctrinally appropriate for consumer deception complaints, but it doesn't impose any duty on corporations and the onus of misleading environmental claims is not transferred to responsible decision-makers. By contrast, the research shows that corporate governance and securities regulation are the locations in which board-level responsibility for disclosures can, in principle, be anchored.

This thesis analyzes the exisiting consumer protection legal regime and show that it has limited effect in tackling the full category of contemporary greenwashing due to following reasons: (i) they are primarily oriented toward advertisements and consumer transactions; (ii) enforcement is commonly reactive and complaint-driven; and (iii) long-horizon and technically complex claims (net-zero and transition narratives) raise substantiation and proof burdens.

Corporate and securities regulation pathways are, by their nature, better positioned to reach upstream governance choices (board oversight, internal controls, disclosure committees and assurance choices).

A key counter-consideration is that MCA and SEBI possess strong mandate to act against material misstatements in corporate disclosure. And this mandate can doctrinally reach ESG misrepresentation when it is treated as a serious disclosure violation. The hypothesis therefore does not depend on claiming "absence of power" in the corporate governance sphere. It is supported because the overall corporate governance angle towards greenwashing is jurisprudentially underdeveloped.

Therefore, the hypothesis is validated.

Hypothesis 2: The existing legal framework does not impose sufficiently clear, stringent and deterrent liability for misleading environmental disclosures, thereby enabling corporations to avoid meaningful accountability.

As Chapter 2 shows, misleading environmental disclosures include not only advertisements but also sustainability reports, ESG disclosures and net-zero or transition narratives. So Hypothesis 2 cannot be tested only by looking at consumer-advertising penalties. The real question is wider: does the law create a clear and effective liability pathway? If the likely legal cost of greenwashing stays lower than its likely benefit, the law works in practice as a shield against real accountability.

Chapter 5 maps this accountability structure across three pillars: consumer protection, securities regulation and company law. Its central finding is not that Indian law lacks legal hooks. Duties, disclosure obligations and possible sanctions do exist. But Chapter 4 shows that stronger systems usually combine these duties with turnover-linked penalties, officer accountability, credible verification and coordinated enforcement.

The doctrinal finding supporting the hypothesis is that duties exist, but the main liability routes used in ordinary greenwashing cases are still too weak. Section 166(2) gives a stronger basis for director accountability than is often recognised, yet its standing and enforcement route remains narrow. Consumer law can address misleading green claims, but it is mainly focused on advertisements and specific claims rather than board-level accountability. The BRSR and SEBI framework has improved disclosure discipline, but incomplete assurance, verification gaps and later relaxations weaken its force. Stronger company-law and securities-law provisions also exist in principle, but they usually require a higher level of proof or face practical enforcement barriers.

This conclusion becomes stronger when one looks not only at penalty amounts, but at how liability is triggered in practice. Chapter 5 shows that detection is often complaint-driven and fragmented. Weak verification raises the burden of proof. Attribution problems and technical complexity make enforcement more costly. Gaps in coordination also mean that consequences across different legal pillars are rarely imposed together. All this reduces the likelihood of consistent enforcement.

This also fits the Hohfeldian analysis in Chapter 3. A legal duty and a formal penalty do not by themselves create real liability. If enforcement triggers are indirect, uncertain, or hard to use, deterrence will predictably remain weak.

A rival explanation must be noted. Securities law and wider company-law fraud provisions can, in some cases, impose serious consequences where misstatements are treated as material and regulators act firmly. But this does not disprove the hypothesis. It only shows that some stronger liability tools exist at the margins. At the system level, the liability shield still remains because these tools are scattered across different pillars, are not part of a routine enforcement pathway and are weakened by standing limits, verification gaps, weak coordination and uneven penalties. Chapter 4 supports this view by showing that effective regimes usually combine strong penalties with assurance and officer accountability in a coordinated framework.

The hypothesis is therefore validated.

Hypothesis 3: In addressing the issue of greenwashing, the present legal mechanism involving different regulatory bodies is inchoate and incomplete.

Chapter 2's typology implies that greenwashing is a lifecycle phenomenon. If a single corporate environmental claim can plausibly fall under multiple regulators (because it travels across packaging, advertising, annual reports, ESG disclosures and green finance instruments), then the system requires harmonised definitions, lead-regulator rules and routine cross-referrals; absent these, the architecture is predictably "inchoate" (not fully developed) and "incomplete" (contains structural gaps).

Chapter 5 demonstrates that India's regulatory ecosystem addressing greenwashing is multi-pillar. Each pillar assigns duties to different actors and involves a different angle, i.e., advertisements, reports, filings, certifications. This allocation creates predictable "lifecycle gaps": the same claim may be treated differently depending on where it appears, even if the market meaning of the claim remains continuous.

The thesis' key interpretation is that even where multiple regulators could act, the system does not embed practices like, routinised coordination mechanisms, lead-regulator designation, mandatory referrals, joint investigation protocols, shared evidence standards and common verification requirements. Chapter 5 further shows that verification deficits (including technical substantiation and carbon/offset infrastructure gaps) raise investigation costs and proof burdens.

A plausible rival view is that multiple regulators can create stronger enforcement. However, the thesis argues that this regulatory redundancy becomes strength only when definitions, substantiation standards and referral protocols are harmonised. In the present configuration, overlap without coordination enables forum-shopping and regulatory arbitrage and produces "orphan" cases. The architecture therefore remains inchoate and incomplete in the precise sense identified in the hypothesis and substaintiated in Chapter 5.

The hypothesis is therefore validated.

6.3 SUGGESTIONS & RECOMMENDATIONS

The problem of greenwashing is fundamentally a problem of poor regulatory design. Apart from that, the existing legal architecture suffers from definitional fragmentation, jurisdictional ambiguity, penalty arbitrage, regulatory backsliding and enforcement limitations that render accountability extremely improbable.

The first suggestion, therefore, is institutional integration. India needs a permanent inter-regulatory greenwashing coordination mechanism linking MCA, SEBI, CCPA, MoEFCC, CPCB, BIS, FSSAI and other sectoral regulators. The goals of this integration should be: a lead-regulator model, mandatory cross-referral, shared investigation protocols and harmonised definitions. Comparative study shows that anti-greenwashing regimes become credible only when the same claim is not allowed to shift meaning across investor disclosures, consumer advertising and technical compliance filings.

Best practices in regulatory design originating from the EU, the UK, Australia, UN and OECD, show that credible anti-greenwashing design requires: full value-chain visibility, independently reviewed carbon transition plans, disciplined use of carbon offsets and claim-specific proof standards. Therefore, it is secondly suggested that India should move towards standardised substantiation architecture for environmental claims, including sector-specific reporting metrics, lifecycle-based verification standards, product-category rules (PCR rules), accredited independent verifiers and common evidentiary protocols for carbon transition claims. The better comparative model is not merely the one with higher penalties but ex ante substantiation, documentary traceability and verifiable methodologies.

The third suggestion is to boost enforcement capacity. A complaint-driven model cannot adequately detect systemic greenwashing. India requires dedicated ESG and greenwashing surveillance capacity for both financial and consumer regulators. This should also include routine market sweeps of high-risk sectors, data-based anomaly detection and cross-checking of sustainability claims against pollution and compliance records. Proactive supervision, rather than post facto response, is what converts a formal compliance framework into a real accountability framework.

These suggestions are not merely aspirational; the comparative evidence demonstrates that jurisdictions implementing them have achieved measurably higher rates of enforcement action and measurably greater deterrence of environmental misrepresentation.

Recommendations

After thorough examination of the findings, in relation to the issue of greenwashing and corporate responsibility, the researcher is proposing the following specific recommendations:

A. Under Companies Act, 2013

1. Amendment of Section 166(7): Turnover-Linked Penalties for Environmental Misrepresentation by Directors

Section 166(7) of the Companies Act, 2013, currently provides: “If a director of the company contravenes the provisions of this section, such director shall be punishable with fine which shall not be less than one lakh rupees but which may extend to five lakhs rupees”.

This penalty ceiling is commercially negligible for directors of large listed companies. For a director of a company with ₹10,000 crore turnover, the maximum fine represents 0.0005% of revenue, creating zero deterrence.

It is recommended that Section 166(7) be *amended* by insertion of a proviso, so that the amended provision reads: *“If a director of the company contravenes the provisions of this section, such director shall be punishable with fine which shall not be less than one lakh rupees but which may extend to five lakhs rupees.* Provided that where the contravention relates to the authorisation, approval, or failure to prevent the publication of a materially misleading environmental claim by or on behalf of the company, the director shall be liable to a penalty not exceeding 1% of the company’s turnover in the preceding financial year, or ₹5 crore, whichever is higher and shall also be liable for disqualification under Section 164(2)(b) for a period not exceeding 3 years”.*

This is an **amendment by insertion of a provision** to the existing sub-section.

2. Insertion of Sub-Section 166(8): Standing Provision for Enforcement of Environmental Duty Under Section 166(2)

Section 166(2) of the Companies Act, 2013, provides: “A director of a company shall act in good faith in order to promote the objects of the company for the benefit of its members as a whole and in the best interests of the company, its employees, the shareholders, the community and for the protection of environment”.

However, there is no clearly defined class of persons empowered to enforce this duty specifically. The existing enforcement route through Sections 241-244 (oppression and mismanagement) requires the applicant to hold at least one-tenth of the issued share capital or to obtain NCLT leave under Section 244 and these provisions are designed for shareholder disputes, not environmental accountability.

It is recommended that a new sub-section 166(8) be **newly inserted**, reading: *"Any member of the company, any creditor, any person affected by the environmental claim, any recognised consumer organisation under the Consumer Protection Act, 2019, or the Central Government through MCA, may file an application before the National Company Law Tribunal alleging breach of the duty under sub-section (2) in relation to environmental misrepresentation, without the threshold requirements of Section 244".*

This is a **newly inserted sub-section**.

3. Insertion of Section 135A: Mandatory ESG and Sustainability Committee

Section 135 of the Companies Act, 2013, requires companies meeting specified thresholds (net worth ≥ ₹500 crore, turnover ≥ ₹1,000 crore, or net profit ≥ ₹5 crore) to constitute a CSR Committee of three or more directors including at least one independent director. The CSR Committee's functions under Section 135(3) are limited to recommending CSR policy, recommending CSR expenditure and monitoring the CSR policy. There is no statutory requirement for board-level oversight of environmental claims, ESG disclosures, or sustainability reporting accuracy.

It is recommended that a new Section 135A be **newly inserted**, reading: *"Every listed company and every unlisted company meeting the thresholds under Section 135(1), that makes public environmental claims or is required to file sustainability disclosures under applicable securities regulations, shall constitute an ESG and Sustainability Committee of the Board consisting of not fewer than three directors, of whom at least one shall be an independent director and at least one shall possess demonstrable expertise in environmental science, carbon accounting, or sustainability reporting. The Committee shall (a) review and approve all environmental claims before publication; (b) establish internal verification policies for sustainability disclosures; (c) ensure that the company's BRSR or equivalent disclosures are substantiated by* *verifiable evidence; and (d) report annually to the Board on the accuracy and completeness of the company's environmental representations".*

This is a **newly inserted section**.

4. Amendment of Section 177(9) of the Companies Act, 2013

Section 177(9) of the Companies Act, 2013, currently provides: "Every listed company or such class or classes of companies, as may be prescribed, shall establish a vigil mechanism for directors and employees to report genuine concerns in such manner as may be prescribed".

Section 177(10) provides that the vigil mechanism shall provide for adequate safeguards against victimisation. However, this mechanism is limited to directors and employees reporting concerns within the company; it does not extend to external stakeholders and does not specifically address environmental misrepresentation.

It is recommended that Section 177(9) be *amended* to read:

"Every listed company or such class or classes of companies, as may be prescribed, shall establish a vigil mechanism for directors and employees to report genuine concerns, including concerns relating to environmental misrepresentation within the meaning of Section 166(2), in such manner as may be prescribed".

B. Under SEBI Act and Regulations

(i) BRSR Framework—Value Chain Disclosure and Assurance

5. Amendment of BRSR Reporting Requirements Under LODR Regulation 34: Removal of Value Chain Disclosure Caps

SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42 (March 28, 2025), amending the BRSR framework under LODR Regulation 34, currently provides that value chain ESG disclosure is mandatory only from FY 2025-26 for the top 250 listed entities, with coverage limited to value chain partners individually comprising ≥2% of purchases or sales and companies may cap total coverage at 75% of procurement or sales value.

It is proposed that this circular be *amended* to require comprehensive reporting of all material Scope 3 emissions without selective partner-level thresholds or aggregate caps, phased as follows: top 250 companies from FY 2026-27, extending to all BRSR-reporting companies by FY 2028-29. The option to cap value chain coverage at 75% shall be **repealed**.

This is an **amendment and partial repeal** of the existing SEBI circular provisions.

6. Amendment of BRSR Core Assurance Requirements: Mandatory Reasonable Assurance

The same SEBI Circular (No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42) currently provides that the term "assurance" has been replaced with "assessment or assurance" to "provide flexibility" and "reduce compliance burdens", allowing companies to choose either an "assessment" (lower-rigour review) or "assurance" (engagement under ISAE 3000/3410) for their BRSR disclosures.

It is recommended that this substitution be **repealed** and replaced with a mandatory "reasonable assurance" requirement under ISAE 3000 or equivalent standards, phased over three years: top 150 companies by market capitalisation from FY 2026-27, top 500 from FY 2027-28, all BRSR reporters from FY 2028-29. SEBI shall establish an approval framework for qualified assurance providers, requiring demonstrated independence, technical ESG expertise and adherence to recognised auditing standards.

This is a **repeal and substitution** of the "assessment or assurance" formulation.

(ii) PFUTP Regulations: ESG Misrepresentation as Prohibited Practice

7. Amendment of SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 2003: Explicit Classification of ESG Misrepresentation

The SEBI PFUTP Regulations, 2003, read with Section 15HA of the SEBI Act, 1992, currently prohibit fraudulent and unfair trade practices in the securities market, with Section 15HA prescribing penalties of ₹5 lakh to ₹25 crore, or three times the profit, whichever is higher. However, there is no explicit regulatory position on whether overstating sustainability performance in BRSR disclosures constitutes a prohibited practice; ESG misstatement is not specifically enumerated.

It is recommended that SEBI *amend* the PFUTP Regulations or issue a circular to explicitly provide: *"Material misrepresentation in BRSR disclosures, ESG ratings submissions, or green debt security documentation shall constitute a fraudulent and unfair trade practice within the meaning of these Regulations. Cases involving persistent or systemic ESG violations shall trigger mandatory referral to MCA for director accountability proceedings under Section 166(2) and Section 166(7) of the Companies Act, 2013"*.

This is an **amendment by insertion** into the existing PFUTP Regulations.

(iii) ESG Rating Providers: Financial Penalties and Competence Standards

8. Amendment of SEBI Master Circular for ESG Rating Providers: Introduction of Financial Penalties

The SEBI Master Circular for ESG Rating Providers (July 11, 2025), read with the Credit Rating Agencies Regulations, 1999, currently subjects ERPs to SEBI's general intermediary enforcement framework. Non-compliance can lead to suspension or cancellation of registration, but there are no specific, quantified financial penalties for issuing materially inaccurate ESG ratings and the review window after BRSR publication has been relaxed from 10 days to 45 days.

It is recommended that the ERP framework be *amended* to introduce a graduated penalty structure based on the materiality of the rating inaccuracy and the number of investors affected, restore the 10-day review window (or set at 15 days as a workable compromise), prescribe minimum competence standards for ERP analysts including qualifications in environmental science or climate data analysis and require ERPs to publish full methodologies with sufficient granularity for independent replication. This is an **amendment** of the existing ERP framework.

(iv) BRSR Framework: Double Materiality

9. Amendment of BRSR Format Under LODR Regulation 34: Mandatory Double Materiality

The current BRSR framework under LODR Regulation 34 follows a single materiality approach: companies report on sustainability issues primarily as they affect financial performance (financial materiality), with no mandatory requirement to report on how the company's operations affect the environment and society (impact materiality).

It is recommended that the BRSR format be *amended* to require double materiality: companies must report both financial materiality and impact materiality. SEBI shall develop sector-specific BRSR reporting standards for at least the highest-impact sectors (energy, metals, chemicals, textiles, automobiles, FMCG and cement), drawing on ISSB/SASB sector-specific materiality maps.

This is an **amendment** of the existing BRSR format and reporting template.

C. Under Consumer Protection Act, 2019 and CCPA Greenwashing Guidelines, 2024

10. Promulgation of Formal Greenwashing Rules Under Section 101, Consumer Protection Act, 2019: Elevation from Administrative Guidelines to Delegated Legislation

The CCPA Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims, 2024 (Notification No. F. No.-CCPA/28/2023-CCPA, October 15, 2024), are currently administrative directions issued by the CCPA. Their enforceability derives indirectly from the CPA 2019's pre-existing categories of misleading advertisement under Section 2(28) and unfair trade practice under Section 2(47); they do not independently create offences or prescribe penalties. Section 101 of the Consumer Protection Act, 2019, provides: "The Central Government may, by notification, make rules for carrying out the provisions of this Act".

It is recommended that the Central Government exercise its rule-making power under Section 101 to promulgate formal "Greenwashing Rules", giving the substantiation mandate, disclosure obligations and claim-specific standards the force of delegated legislation with parliamentary oversight through the mandatory laying requirement. The Rules shall independently prescribe specific penalties calibrated to different categories of environmental misrepresentation.

This is a **newly promulgated delegated legislation** under the existing rule-making power of Section 101; the existing guidelines would be **superseded** by statutory rules.

11. Amendment of Section 21, Consumer Protection Act, 2019: Turnover-Based Penalties for Misleading Environmental Claims

Section 21 of the Consumer Protection Act, 2019, currently provides, inter alia: "If the Central Authority is satisfied after investigation that any advertisement is false or misleading, the Central Authority may, by order…impose on the manufacturer or the endorser a penalty which may extend to ten lakh rupees; and for every subsequent contravention, the Central Authority may impose a penalty which may extend to fifty lakh rupees". These fixed-cap penalties apply identically to a small enterprise and a multinational corporation. For a company with ₹10,000 crore annual turnover, ₹50 lakh represents 0.005% of revenue.

It is recommended that Section 21 be *amended*, or the proposed Greenwashing Rules prescribe, a graduated, turnover-based penalty structure: *"Where the misleading advertisement relates to an environmental claim within the meaning of the Greenwashing Rules, the Central Authority may impose a penalty not exceeding 1% of the annual turnover of the manufacturer or advertiser for a first contravention and not exceeding 4% of such turnover for every subsequent contravention, with a minimum floor of ₹10 lakh. The Central Authority shall also direct the manufacturer or advertiser to issue corrective advertising at its own expense, with the correction to be of equal prominence and duration as the original misleading campaign"*.

This is an **amendment** of the existing Section 21, or alternatively, an independent penalty provision in the proposed Greenwashing Rules.

12. Amendment of Guideline 3(h) of CCPA Greenwashing Guidelines, 2024: Narrowing the Puffery Exception

Guideline 3(h) of the CCPA Greenwashing Guidelines, 2024, currently exempts "obvious hyperboles or puffery" from the definition of greenwashing. Neither "obvious hyperbole" nor "puffery" is defined in the Guidelines, creating an escape hatch for aspirational transition narratives and net-zero pledges without credible implementation pathways.

It is recommended that the puffery exception be *amended* in the guidelines to read:

"Environmental claims carrying measurable implications—including but not limited to 'committed to net-zero by [date],' 'on our journey to carbon neutrality,' '100% sustainable sourcing by [date],' and 'science-based targets'—shall not qualify as puffery unless accompanied by: (a) a published, independently reviewed transition plan; (b) interim targets with timelines; (c) disclosed budget allocations; and (d) methodology disclosures. Generic environmental imagery (green leaves, earth symbols, nature backgrounds) used in advertising shall carry a rebuttable presumption of being an environmental claim requiring substantiation".

This is an **amendment by substitution** of the existing puffery exception.

13. Insertion of Claim-Specific Substantiation Standards as Schedules to the Recommended Greenwashing Rules

Guidelines 4-6 of the CCPA Greenwashing Guidelines, 2024, currently require that environmental claims be "substantiated" with "reliable and scientific evidence" and "credible certifications", but do not specify what constitutes adequate substantiation for different types of claims.

It is recommended that detailed claim-specific standards be **newly inserted** as schedules to the proposed Greenwashing Rules, prescribing as follows: (i) "Carbon neutral"—complete lifecycle emissions inventory covering Scope 1, 2 and material Scope 3; documented purchase and retirement of verified carbon offsets meeting Gold Standard or equivalent; disclosure of offset methodology; (ii) "Biodegradable"—testing under ISO 14855 or equivalent; disclosure of timeframe and conditions; specification of whether the claim applies to the product, packaging, or both; (iii) "Recyclable"—evidence that recycling facilities are accessible to a reasonable proportion of the target consumer base; disclosure of material composition; (iv) "Net-zero": disclosure of baseline year, interim targets, scope coverage, cap on offsets and alignment with a recognised science-based pathway.

This is a **newly inserted schedule** to the recommended Greenwashing Rules.

Additionally, the proposed Greenwashing Rules shall **newly insert** provisions for protected disclosure: any person (employee, supplier, auditor, consumer, or civil society organisation) may report greenwashing to CCPA through a protected channel; the identity of the whistleblower shall be kept confidential; retaliation shall be a separate offence; and financial incentives (a percentage of penalty recovered, subject to a cap) shall be considered for substantiated disclosures.